

PITCH — BHVN — VERDICT

ADJUDICATED 2026-09-16 — FLAT — human-gated + SOTP unverified (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Biohaven sold most of the economics of its lead epilepsy drug (azetukalner / BHV-7000) to SK Biopharmaceuticals for a \$400M non-refundable upfront, kept a big royalty tail, and then — five days before the deal's closing paperwork cleared — the FDA put a partial clinical hold on new enrollment because of a metabolite seen in rodents. The stock fell about \$2.20/share (~\$332M). The filed 8-K says the hold stops new enrollment only; dosing continues for the >600 patients already randomized, and the fully-enrolled 303 trial still reads out in 2H26.

What we actually believe, stated narrowly:

1. **The original in-house thesis (“the damage is absent because the \$350M is contractually safe”) is dead.** Biohaven kept tiered royalties in the mid-teens to low-twenties on U.S. sales, mid-single-digits ex-U.S., plus up to \$150M in milestones. That retained strip is the majority of the drug's value to Biohaven, and a clinical hold damages it directly. Both benches agree. So do we.
2. **But the opposite claim — “the tape is fully rational” — is also unproven.** The red bench's showcase kill was that a 15-point cut in probability-of-success explains the whole drawdown. On its own table that arithmetic is wrong: the strip moves about \$0.0515/share per point of probability at a \$1.0B U.S. peak, so 15 points is **\$0.77/share**, not \$2.30. Reproducing the full \$2.30 needs a ~45-point collapse. So probability-repricing explains roughly \$0.8–\$1.5 of a \$2.20 move — a third to two-thirds. The rest is unexplained.
3. **The binding question is one neither bench answered.** Add up what we can value: pro-forma cash after the upfront, plus the retained royalty strip. That is \$3.45–\$5.51/share on a net-of-debt basis, \$5.17–\$7.23/share on a gross-cash basis. The stock is \$12.88. Everything above roughly \$7 is the rest of the pipeline — BHV-1300, BHV-1400, taldefgrobep, BHV-8100, the antibody-drug conjugates — which **no one in this process priced**. To make this a +50% trade you need that pipeline to be worth \$12–14/share, or about \$1.9B, against roughly \$77M of direct spend on it per half-year.
4. **Our honest scenario math says the stock is worth about \$10.30 against a \$12.88 tape.** That is a ~20% overvaluation, not a short (the fail case is only \$2.50 and the squeeze case is \$19), and not a buy.

Conclusion: **interesting, cheap-ish only at much lower prices, and gated.** We wait.

What the market believes

The market believes roughly what we do about the drug and more than we do about everything else.

- Sell-side is split wide: RBC pulled its \$19 target to Sector Perform, H.C. Wainwright is at \$10, Raymond James cut \$50 → \$30. Bank of America went to Underperform with an \$11 target on **2026-06-29 — before the hold** — on the competitive question versus Xenon's rival Kv7 drug. So today's \$12.88 sits right on top of a bear target that predates the bad news.
- The tape is **down 30.5% from the 52-week high of \$18.53 but still up 72% from the \$7.49 low**. This is give-back from a double, not a fresh dislocation.
- Short interest is about 24.9M shares, roughly 16.5% of shares outstanding. The market is positioned for more bad news, which cuts both ways: a clean metabolite package into that positioning is a squeeze setup.
- Press coverage (BioSpace, BioPharma Dive, Investing.com within 24 hours) converged on one read: the second pivotal trial probably also needs to read out positively for approval, so the hold matters more than "enrollment only" sounds. Some reporting also notes the Street read SK Biopharma's willingness to sign — after being shown the metabolite data — as a sign SK was comfortable with the issue.

Net: the market prices a damaged but funded company whose remaining pipeline is worth something material. We can't verify that last part.

Why we might have edge

- **We did the debt work.** The \$250M Oberland note carries a covenant: if the FY2026 audit (due 2027-03-01) comes with going-concern language, that is a delivery-covenant breach, and holders can put the notes back at 120%. Shareholders' equity was \$12.2M at 6/30/26. That makes the \$350M not upside but the thing that keeps the auditor quiet. Most coverage treats the cash as a windfall.
- **We found the dead financing option.** The additional \$150M Oberland tranche was conditioned on FDA approval of trilorizole; trilorizole got a complete response letter in November 2025. That tranche is gone. Both the original brief and the red bench missed it.
- **We separated "upfront" from "at risk."** The \$50M second payment is part of the same "non-creditable and non-refundable upfront fee of \$400 million" sentence — it belongs in cash (+\$0.33/share), not in the risked royalty strip. Anyone who haircuts it is double-counting the damage.
- **We fixed our own burn number twice.** The brief said \$77M/quarter off a balance change. The red bench said \$117.5M/quarter off a half-year average. Differencing the Q1 filing gives Q2 operating cash burn of **\$85.1M** with only \$3.8M of financing in the quarter — the ATM money (\$178.9M) landed almost entirely in Q1. Runway is ~3.2 quarters standalone and ~6.9 gross / ~3.3 net-of-debt pro-forma. Both prior numbers were wrong; the direction of the error mattered for sizing.

- **We know exactly what we don't know** and we've written it down as a drain queue rather than hiding it in prose.

Why it might be priced in

Plainly: most of it probably is.

- The hold is public, the partial-hold mechanics are in the filed 8-K, and three outlets carried the “the other trial has to work too” point within a day. There is no informational asymmetry on the clinical fact.
- The royalty strip is disclosed with its ranges. Anyone can build the same grid we built.
- The \$11 bear target existed before the hold, and the stock is at \$12.88. The bear case has already been published and partially paid for.
- The 16.5% short interest means the skeptical view is not just known, it's crowded — which usually means the easy money on that side is gone.
- Our one genuinely differentiated finding (the dead \$150M tranche + the going-concern tripwire) is a **sizing** input, not a direction input. It tells us to be small; it does not tell us the stock is wrong.
- And our “edge” on valuation is really an admission: we can't value the majority of what the market is paying for. That is not edge. That is a hole.

What could go wrong

Failure narrative 1 — We buy the relief and the relief is the top. (Tripwire: YES) The metabolite package comes back rodent-specific, the hold lifts, HSR clears, \$350M lands, and 16.5% short interest covers into it. The stock gaps from ~\$11 to ~\$16. Our own gates — “enter only after the events go green” — fire us into that gap. Then RISE-3 topline misses, or shows a thin effect against a rival Kv7 compound, and the strip goes to near-zero: cash plus residual pipeline, ~\$6.50. We'd have bought the best news at the worst price and eaten a 60% drawdown. *Monitorable via: 8-K hold-lift, 8-K closing, RISE-3 topline. This is the single most likely way we lose.*

Failure narrative 2 — The metabolite is a chemotype problem, not a compound problem. (Tripwire: PARTIAL) If the offending metabolite is genotoxic and structural to the Kv7 scaffold, this stops being a delay and becomes a program kill. The pre-closing exit then runs not through the safety-termination clause (which is post-closing — the original brief litigated the wrong paragraph) but through closing conditions and the bring-down: the deal is “subject to obtaining required antitrust clearances and the satisfaction or waiver of other customary closing conditions,” and the material-adverse-effect carve-outs are macro/industry/law/war/projections — **asset-specific FDA action is not carved out**. Against that, the 8-K states all clinical and nonclinical data including metabolite work were shown to SK before signing, which is the classic known-at-signing exclusion. We can see a termination 8-K when it happens; we cannot see it coming, and the Outside Date is redacted. If the deal dies, the \$350M never arrives, runway is 3.2 quarters, and the going-concern covenant trips the Oberland put at 120%. Downside ~\$2.50.

Failure narrative 3 — The roof was never there. (Tripwire: NONE) — unknown-unknown class: UNPRICED RESIDUAL (model-omission risk) The \$5.70–\$9.40/share the tape assigns to the non-Kv7 pipeline is simply wrong, and we find out the way these things are always found out: slowly, through quiet deprioritizations, a program dropped from a corporate deck, an enrollment page that stops updating, a partner that doesn't come. **There is no filing, no price level, no 8-K, no sensor that prints “the pipeline is worth \$2, not \$9.”** This is the failure mode we cannot arm a tripwire against, because the quantity is not disclosed, not measured, and not adjudicated anywhere. Its class is the unpriced residual — the part of the market cap that exists only because no one subtracted it. A second, related unknown-unknown class sits alongside it: **private-counterparty intent** — what SK Biopharma actually concluded internally about the metabolite is knowable to exactly one party, and it is not us.

The reflexive / structural leg. Our own footprint is not the problem. A quarter-unit is 0.25% of book; even at the small end of a plausible 2–4M share average daily volume (~\$25–50M notional), we are well under 1% of a day. We cannot move this tape and we should not pretend otherwise. The reflexivity that *does* bite us is doctrinal, not mechanical:

- **Our gating doctrine is procyclical here.** Requiring the hold-lift 8-K and the closing 8-K before entry means we structurally buy after the squeeze has already fired. Against 16.5% short interest, the gate is not free — it is a known, repeated cost, and it is exactly failure narrative 1.
- **Predicted flow runs against us on the good news and with us on the bad.** Short covering supplies the pop we'd be buying into; on the bad branch, index and passive holders don't sell fast, so the fail case grinds rather than gaps, giving us time we don't want to use.
- **Doctrine interaction:** our “no-entry above fair value” rule and our “gate on catalysts” rule point in opposite directions at the same moment. The moment the gates go green is the moment the price is furthest above the funded value. We resolve this explicitly below by making the event gates permit entry only *under a price ceiling*, never at any price.
- **Crowding interacts with the covenant.** If the deal slips past the 2027-03-01 audit deadline, a going-concern paragraph plus 16.5% short interest plus an at-the-market program is a reflexive down-spiral: the equity issuance that fixes the covenant is priced off a tape the covenant broke.

If this position loses money, the most likely reason will be ____

(____ = *that we bought the post-hold relief rally at a price that still embedded \$6–9/share of non-Kv7 pipeline value that neither bench ever priced, and then the second pivotal trial disappointed.*)

What we checked ourselves

Claim	How checked	Found	Confirmed?
“The \$350M is safe, so the damage is absent” (original brief's core)	8-K 2026-08-26 primary text	Biohaven kept mid-teens-to-low-twenties U.S. royalties, mid-single-digit ex-U.S., plus up to \$150M milestones. That retained strip is what a hold impairs.	NO — brief REFUTED. Both benches agree; this was our own thesis and it broke.

Claim	How checked	Found	Confirmed?
“Burn is ~\$77M/quarter” (original brief)	Balance change vs. cash-flow statement	Right number, wrong method — it was a cash+securities delta, not operating cash flow	PARTIAL — correct by luck. Method rejected.
“True burn is \$117.5M/quarter” (RED BENCH)	Differenced Q1’26 10-Q (OCF –\$149.9M, financing +\$179.0M) against 1H26 OCF –\$235.0M	Q2 operating burn = –\$85.1M ; Q2 financing only +\$3.8M. Red averaged a half-year containing a one-time restructuring payout tail and pushed it forward.	NO — OUR OWN RED BENCH ERRED. Its method point (balance delta ≠ operating cash flow) stands; its number does not. Runway restated 2.3 → 3.2 quarters standalone.
“A 15-point probability haircut destroys ~\$2.30/share — the whole drawdown” (RED BENCH, its “strongest kill”)	Arithmetic on red’s own grid	Slope is \$0.0515/share per point at \$1.0B peak → 15 points = \$0.77/share . \$2.30 needs a 45-point collapse. Red read a level (\$2.32 at 45%) as a change.	NO — OUR OWN RED BENCH ERRED. Strip repricing explains \$0.8–\$1.5 of a \$2.20 move, not all of it.
“The 8-K wording ‘>600 randomized’ / ‘new enrollment only’ is venue-divergent” (RED BENCH detector fire)	Pulled the full filed 8-K rather than the pack excerpt	Both phrases are verbatim in the filed document; the evidence pack excerpt simply truncated mid-sentence at “September 4”	NO — OUR OWN RED BENCH ERRED. A truncation was mistaken for a disclosure inconsistency.
Red bench ran the full detector list	Compared consulted list to dispatch	Red skipped one atlas line entirely and substituted one that wasn’t in the dispatch	NO — validator defect, logged. Substance unaffected here (the skipped line is a domicile artifact — BVI-domiciled, U.S.-operating, Big-4 audited).
“Safety termination is post-closing, so there’s no pre-closing exit” (brief)	Exhibit 10.1 + 8-K	Termination clause is indeed post-closing, but the pre-closing exit runs through closing conditions and the MAE bring-down, whose carve-outs (macro/industry/law/war/projections) do not cover asset-specific FDA action. The brief never read that article.	PARTIAL. Reduced in force because the 8-K says all metabolite data were disclosed to SK before signing — the standard known-at-signing exclusion. Outside Date remains redacted.
Share count	Pack’s XBRL diluted-share series	Pack stops at 102.4M (2025-06-30) and cannot support a 2026 per-share claim. Cross-checked the filed 151,017,531 at 6/30/26 against \$137.31M Q2 loss ÷ \$0.91 basic EPS = 150.9M.	YES — 151.0M. Pack limitation documented; do not use pack <code>dil_sh</code> for 2026 math.
\$50M second payment is at-risk milestone money	8-K sentence structure	It is part of the “non-creditable and non-refundable upfront fee of \$400 million”	NO — belongs in cash, +\$0.33/share. Red haircut it incorrectly.
Debt is background noise	10-Q Note 6	Going-concern language in the FY2026 audit (due 2027-03-01) breaches the note delivery covenant; put at 120%. Equity \$12.2M at 6/30/26. Offsetting: the same 10-Q says management expects ≥12 months of funding without the \$350M.	YES, reduced to sizing-conditional. Real tripwire, not an imminent one.

Claim	How checked	Found	Confirmed?
Additional \$150M debt tranche available	Q1'26 10-Q condition + Nov-2025 news	Conditioned on troriluzole approval; troriluzole received a complete response letter. Tranche is dead.	YES — financing optionality narrower than either bench assumed.
“Tape is above our fair value, so it’s a valuation kill” (RED BENCH)	Checked red’s own admission	Red’s fair value explicitly excludes BHV-1300/BHV-1400/taldefgrobep/ADCs. You can’t kill a full valuation with a partial one.	NO — reduced. Real question moved to the unverified list.
“Not a dislocation” (RED BENCH on crowding)	Short interest vs. binary event	16.5% short into a binary readout is asymmetry, which argues for small optionality — it is not a reason to reject	PARTIAL — sizing input only.
The next earnings date	Pack + filing history	2026-11-09 is derived from a data vendor, not named in any company release. Q2 was filed 2026-08-10.	NO — UNCONFIRMED. Print proximity: none within 5 trading days.
Satellite / emissions / product-review / OSHA detectors	Ran the atlas	All not-fired or uncheckable: no owned plant, no marketed product, no approved drug, leased urban R&D space, no capex build. The absence of any approved-product history is itself the risk profile.	YES — no alternative-data edge exists on this name.

PROPOSED ENTRY BANDS

No entry today. At \$12.88 the stock trades above our own expected value of \$10.30 and roughly 1.8–2.5× the part of the company we can actually value. The benches’ combined math gives us this ladder instead. *Normal unit = 1.00% of book.*

REOPEN BANDS (price-triggered, no event required)

Trigger	Action	Size	Basis (from the benches’ own math)
≤ \$7.50	Open starter	0.25% of book	Top of the funded Kv7-plus-cash range on a gross-cash basis (\$7.23 at 65% probability) and right at the 52-week low of \$7.49. At this price you are paying ~zero for the unpriced pipeline.
≤ \$5.20	Add	+0.25%	Gross-cash-basis value at a 25% probability of success (\$5.17). This is the “trial is probably dead but the cash is real” price.
≤ \$3.60	Final add, only if the \$350M has been received	+0.25%	Pro-forma gross cash per share of \$3.55. Below this you are inside the cash. Do not take this band if closing has failed — without the upfront the floor is \$1.83 net of the notes, not \$3.55.

Trigger	Action	Size	Basis (from the benches' own math)
Max total	—	0.75% of book	Three-quarter unit is the hard cap. Blue bench's ceiling was a quarter unit; we permit scaling only because each add is at a materially better price.

EVENT-GATED ENTRY (all three must be green, and the price ceiling still binds) 1. 8-K showing the metabolite nonclinical package accepted and the partial hold **lifted**, with enrollment restarted; **and** 2. 8-K confirming antitrust clearance, closing, and the \$350M received; **and** 3. A defensible non-Kv7 sum-of-the-parts above \$8/share.

If all three are green: buy up to 0.25% of book **only at \$10.00 or lower** — at or under the lowest post-hold published target. **We do not chase above \$10.00 on good news**, because that is precisely failure narrative 1. If the stock gaps to \$14+ on the hold-lift, we stand down and re-approach only through the price ladder above.

EXITS / TRIMS - Exit everything on an 8-K reporting termination of the SK agreement or failure of a closing condition. The thesis is cash-plus-covenant at that point and the covenant is worse than the cash. - **Exit everything** on an Item 2.04 filing (Oberland acceleration / put exercise) or on FY2026 audit going-concern language at/after 2027-03-01. - **Trim half** at +60% from average cost or at \$16.50, whichever comes first — \$16.50 is above every scenario in our table except the 15%-probability clean sweep, so holding past it is buying the tail at full price. - **Hard review** (not automatic exit) if RISE-3 topline is mixed: the strip collapses toward \$1.29/share and the cash floor becomes the whole thesis.

CATALYST DATES - Metabolite nonclinical data: “in the coming weeks” from 2026-09-10. Our working window is 2026-09-25 to 2026-11-15, midpoint ~2026-10-15. **UNCONFIRMED — no date given by the company.** - **Antitrust clearance / closing: no date disclosed.** Estimate Q4 2026 (~2026-12-15) on the standard 30-day initial waiting period. **UNCONFIRMED.** - **RISE-3 topline: “second half of 2026,” i.e. by 2026-12-31.** Reaffirmed as on-timeline in the 2026-09-10 8-K despite the hold. **UNCONFIRMED as to exact date.** - **Next earnings print: 2026-11-09 — vendor-derived, UNCONFIRMED.** Treat as a Q3 operating-cash-flow checkpoint, not a catalyst. - **2027-03-01: FY2026 audit delivery deadline under the note covenant. CONFIRMED from the 10-Q.** This is the real clock.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 3.6 (deck-provisional: Final add ONLY if \$350M received — pro-forma gross cash \$3.55/sh; without closing the floor is \$1.83 n)
- filing watch: 8-K until 2027-03-10 (deck-provisional: Metabolite nonclinical package accepted and partial clinical hold lifted, enrollment restarted — gate)

- dated pack BHVNI2026-10-15: BHVN: Metabolite nonclinical data package — company said ‘in the coming weeks’ on 2026-09-10; midpoint of a 2026-09-25 to 2026-11-15 window.
- dated pack BHVNI2026-11-09: BHVN: Q3 2026 print — vendor-derived only, no company release names it; treat as an operating-cash-flow checkpoint. (date confirmed=False)
- dated pack BHVNI2026-12-15: BHVN: Estimated antitrust clearance / closing and \$350M receipt — no date disclosed; 30-day initial waiting period base rate. (date confirmed=False)
- dated pack BHVNI2026-12-31: BHVN: RISE-3 topline deadline — company reaffirmed ‘second half of 2026’ in the 2026-09-10 8-K despite the hold. (date confirmed=False)
- dated pack BHVNI2027-03-01: BHVN: FY2026 audit delivery deadline under the Oberland note covenant; going-concern language triggers a put at 120%. (date confirmed=True)

What remains unverified

1. **What the non-Kv7 pipeline is worth.** This is the whole gap between \$7 and \$12.88 and neither bench priced it. Not drainable from filings today. **Estimate: \$2.00–\$6.00/share (\$300M–\$900M)**, based on \$150–300M per credible Phase 1/2 program against 2–3 such programs, cross-checked against ~\$77M of non-Kv7 direct R&D per half. Probability it comes in **below** the ~\$5.70/share the tape needs: **0.60**.
2. **The Outside Date and the full “Conditions to Closing” article of the license agreement.** Redacted in the filed exhibit. This is the red bench’s best surviving open risk. **Estimate: Outside Date 9–12 months from signing, i.e. 2027-05 to 2027-08**, on the base rate for antitrust-only licensing deals. Confidence **0.70**.
3. **Whether antitrust clearance is clean or draws a second request.** **Estimate: 30-day initial waiting period; probability of clean clearance 0.85** for a non-overlapping license between a developer with no marketed product and a partner in the same class.
4. **The metabolite nonclinical result itself.** Private and time-gated; nobody outside the company and the agency can see it. **Estimate: probability the hold is lifted within six months ≈ 0.65**, on the general base rate for partial clinical holds tied to nonclinical characterization rather than human safety events.
5. **The options chain.** We have no strikes, no bid/ask, no chain-level implied vol. This blocks the instrument recommendation below. Drainable immediately from the broker.
6. **Q3 2026 operating cash flow.** Needed to confirm \$85.1M/quarter rather than the overturned \$117.5M. **Estimate: \$80–95M**, anchored on the Q2 marginal figure with no further restructuring payouts expected. Confidence **0.70**.
7. **The actual next-print date.** Vendor-derived only. **Estimate: 2026-11-05 to 2026-11-16**, confidence **0.80**.
8. **Current average daily volume and borrow cost.** Needed to confirm our footprint is immaterial and to price any premium-selling route. **Estimate: 2–4M shares/day (~\$25–50M notional)**, confidence **0.60**. Drainable immediately.

PRIZE TABLE + VOL READ

Anchor first, then adjust. **Anchor** = the blue bench's funded value on a gross-cash basis at a 45% probability of success: **\$6.20/share** (retained strip \$2.32 + pro-forma gross cash \$3.88).

Adjustments: up for the unpriced non-Kv7 pipeline and for short-covering in the good branch; down for the note covenant and for the dead \$150M tranche.

#	Scenario (horizon: through RISE-3 + closing, ~2027-03-31)	Prob.	Price
A	Hold lifted, closing done, RISE-3 clearly positive → probability of success re-rates toward 65%, 16.5% short covers, pipeline gets credit	0.15	\$19.00
B	Hold lifted, closing done, RISE-3 acceptable but unexciting vs. the competing Kv7 drug	0.20	\$13.50
C	Hold lifted late, closing done, RISE-3 slips into 1H27 — muddle-through	0.25	\$10.50
D	Closing done but RISE-3 fails → strip ≈ 0, value = gross cash \$3.55 + residual pipeline	0.28	\$6.50
E	Metabolite finding is structural; closing condition fails, no \$350M, covenant trips at the 2027-03-01 audit	0.12	\$2.50

EV = \$10.30 vs. tape \$12.88 → -20%. Standard deviation of the table, $\sigma_{\text{table}} = \$4.98 = 38.6\%$ of spot over $T \approx 0.55$ years → **the table implies about 52% annualized volatility.**

The chain arithmetic — shown, but incomplete by design.

Prices off our own table, $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$:

Instrument	Our price from the table	What the chain must show to act
Call, K = \$15	\$0.60	Buy only if chain mid is materially under \$0.60.
Call, K = \$12.50	\$1.175	Buy only if chain mid is under ~\$1.00 (fee/slippage buffer).
Call, K = \$10.00	\$2.175	Deep-ish; the least attractive of the three versus our own EV.
Put, K = \$7.50 (cash-secured)	\$0.88 (11.7% of strike over 0.55y)	Sell only if the chain bid exceeds \$0.88 — and note this is the same \$7.50 as reopen band #1, so assignment is an outcome we want.

Volatility-risk-premium read: CANNOT BE COMPLETED — no chain in the pack (unverified item #5). What we can say, and the rule that follows from it: - Our table implies ~52% annualized. If **chain-level midpoint implied vol on the actual candidate strikes** prints **below ~50%**, options are cheap against our own dispersion and the gated adds should be expressed in calls rather than stock. - If chain implied vol prints **above ~65%** — which is the more likely state for a name five days off a clinical hold with 16.5% short interest — the premium is rich against our dispersion and the route is **cash-secured puts at \$7.50**, which pays us to wait at exactly the price we said we'd buy. - **We will not use the underlying's aggregate implied-vol feed for this.** Chain-level midpoint vol on the specific strikes, with real bid/ask, only. The two diverge badly on damaged small caps — the TSSI lesson, where the aggregate read 71 and the chain read 101. Acting on the wrong one inverts the recommendation.

Bimodality warning. The table is fork-dated on two sequential binary events (metabolite package, then RISE-3). The terminal distribution is two humps — a fail cluster at \$2.50–\$6.50 (40% of probability) and a success cluster at \$13.50–\$19.00 (35%) — with a thin middle. Any single-volatility lognormal quote will **underprice both wings and overprice the body**. Practically: straddles and at-the-money structures are the wrong shape here; if we ever express this with options, it should be far out-of-the-money on one side only.

Tax overlay. In a loss-harvesting year, the losing branch has to land before December 31. - **Stock is tax-neutral** — we can realize whenever we choose. This is the default expression. - **A December-2026 expiry** keeps the loss branch in-year, but our catalyst window runs to 2026-12-31 and could slip to 1H27 (scenario C, 25%). A December call could expire worthless *before* the event it was bought for — paying the tax convenience with the entire thesis. - **January/March 2027 expiries defer the loss into 2027 and are therefore EXCLUDED during a harvest year**, unless the pricing edge is large enough to dominate numerically — concretely, unless the chain offers the \$12.50 call under ~\$0.70 against our \$1.175. It does not, as far as we know, because we have not pulled the chain.

INSTRUMENT RECOMMENDATION — output of the arithmetic above: NONE TODAY.

Expected value is 20% below the tape, so no long expression clears on its own merits. The reopen ladder is in **stock**. The only option structure that is conditionally live is the **\$7.50 cash-secured put at a chain bid above \$0.88**, and that recommendation is **blocked pending the chain pull** — it cannot be issued off an aggregate volatility feed.

Primary sources: partial clinical hold 8-K —

<https://www.sec.gov/Archives/edgar/data/0001935979/000193597926000077/bhvn-20260904.htm>
; license terms 8-K —

<https://www.sec.gov/Archives/edgar/data/1935979/000193597926000072/bhvn-20260826.htm> ;
Q2 10-Q (cash flow, note covenant) —

<https://www.sec.gov/Archives/edgar/data/0001935979/000193597926000066/bhvn-20260630.htm>
; Q1 10-Q (used to overturn our own burn number) —

<https://www.sec.gov/Archives/edgar/data/0001935979/000193597926000045/bhvn-20260331.htm>

```

{"price_gates": [{"level": 16.50, "direction": "above", "basis": "Above every
scenario but the 15% clean sweep – do not chase the hold-lift squeeze; trim
half if held."}, {"level": 10.00, "direction": "below", "basis": "Ceiling for
event-gated entry: lowest post-hold published target; prevents buying the
relief gap."}, {"level": 7.50, "direction": "below", "basis": "Reopen tranche
1 – top of funded Kv7+gross-cash range ($7.23) and the 52-week low ($7.49);
pipeline free here."}, {"level": 5.20, "direction": "below", "basis": "Reopen
tranche 2 – gross-cash-basis value at 25% probability of success ($5.17)."},
{"level": 3.60, "direction": "below", "basis": "Final add ONLY if $350M
received – pro-forma gross cash $3.55/sh; without closing the floor is $1.83
net of notes."}], "event_gates": [{"forms": ["8-K"], "why": "Metabolite
nonclinical package accepted and partial clinical hold lifted, enrollment
restarted – gate 1 of 3."}, {"forms": ["8-K"], "why": "Antitrust clearance,
closing, and $350M received – gate 2 of 3; also flips the $3.60 band on."},
{"forms": ["8-K"], "why": "Termination of the SK agreement or failure of a
closing condition – immediate full exit."}, {"forms": ["8-K"], "why": "Item
2.04 debt acceleration or Oberland put exercise at 120% – immediate full
exit."}, {"forms": ["8-K"], "why": "RISE-3 topline result – the single
largest value fork in the prize table."}, {"forms": ["10-Q"], "why": "Q3 2026
operating cash flow – confirm $85.1M/qtr marginal burn, not the overturned
$117.5M."}, {"forms": ["10-K"], "why": "FY2026 audit by 2027-03-01 – going-
concern language breaches the note delivery covenant."}, {"forms": ["424B5",
"S-3ASR"], "why": "New at-the-market or shelf usage – dilution is how this
company actually funds itself."}, {"forms": ["4"], "why": "Insider buying
into the hold would be the only insider read available on the metabolite
question."}], "catalyst_dates": [{"date": "2026-10-15", "what": "Metabolite
nonclinical data package – company said 'in the coming weeks' on 2026-09-10;
midpoint of a 2026-09-25 to 2026-11-15 window.", "confirmed": false},
{"date": "2026-11-09", "what": "Q3 2026 print – vendor-derived only, no
company release names it; treat as an operating-cash-flow checkpoint.",
"confirmed": false}, {"date": "2026-12-15", "what": "Estimated antitrust
clearance / closing and $350M receipt – no date disclosed; 30-day initial
waiting period base rate.", "confirmed": false}, {"date": "2026-12-31",
"what": "RISE-3 topline deadline – company reaffirmed 'second half of 2026'
in the 2026-09-10 8-K despite the hold.", "confirmed": false}, {"date":
"2027-03-01", "what": "FY2026 audit delivery deadline under the Oberland note
covenant; going-concern language triggers a put at 120%.", "confirmed":
true}], "immediate_entry": null, "unverified": [{"item": "Value of the non-
Kv7 pipeline (BHV-1300, BHV-1400, taldefgrobep, BHV-8100, ADCs) – the entire
gap between ~$7 and the $12.88 tape; neither bench priced it.", "instrument":
"Sell-side model pull (RBC / Raymond James / BofA sum-of-parts) + 10-Q R&D-
by-program disclosure + ClinicalTrials.gov enrollment-velocity walk-around",
"drainable_now": false, "estimate": {"range": "$2.00–$6.00 per share
($300M–$900M)", "basis": "comp base rate of $150–300M per credible Ph1/2
program x 2–3 programs, cross-checked vs ~$77M/half of non-Kv7 direct R&D
spend", "p": 0.6}}, {"item": "Outside Date and the full 'Conditions to
Closing' article of the SK license agreement – redacted in the filed
exhibit.", "instrument": "Unredacted Exhibit 10.1 via confidential-treatment
expiry or next 10-K exhibit index; EDGAR full-text watch", "drainable_now":
false, "estimate": {"range": "Outside Date 2027-05 to 2027-08 (9–12 months
from signing)", "basis": "base rate for antitrust-only-conditioned pharma
license deals", "p": 0.7}}, {"item": "Whether antitrust review clears cleanly
or draws a second request.", "instrument": "HSR early-termination notice
watch + company 8-K; FTC weekly grant list", "drainable_now": false,
"estimate": {"range": "30-day initial waiting period from filing; clearance
by ~2026-12-15", "basis": "base rate for non-overlapping license between a
no-marketed-product developer and a same-class partner", "p": 0.85}},
{"item": "The metabolite nonclinical result itself – private to the company
and the FDA, time-gated.", "instrument": "Company 8-K / PR;
ClinicalTrials.gov status flip on RISE-2/RISE-3 as the earliest public tell",
"drainable_now": false, "estimate": {"range": "hold lifted within 6 months:
yes/no", "basis": "base rate for partial clinical holds arising from
nonclinical metabolite characterization rather than human safety events",

```

```
"p": 0.65}}, {"item": "Options chain – strikes, real bid/ask, chain-level midpoint implied vol. Blocks the instrument recommendation; the aggregate IV feed is not acceptable (TSSI 71-vs-101).", "instrument": "IBKR chain pull, Dec-2026 and Mar-2027 expiries, strikes $7.50 / $10 / $12.50 / $15", "drainable_now": true, "estimate": null}, {"item": "Q3 2026 operating cash flow – confirms the $85.1M/qtr marginal burn that overturned our own red bench's $117.5M.", "instrument": "XBRL pull on the Q3 10-Q, expected on or near 2026-11-09", "drainable_now": false, "estimate": {"range": "$80M-$95M operating cash used", "basis": "Q2 2026 marginal OCF of $85.1M with no further restructuring payout tail expected", "p": 0.7}}, {"item": "Actual next earnings date – the 2026-11-09 in the pack is vendor-derived and named in no company release.", "instrument": "Company IR calendar / 8-K Item 2.02 scheduling PR; EDGAR watch", "drainable_now": false, "estimate": {"range": "2026-11-05 to 2026-11-16", "basis": "prior-year cadence and the 2026-08-10 Q2 filing date", "p": 0.8}}, {"item": "Current average daily volume and stock borrow cost – needed to confirm our footprint is immaterial and to price the $7.50 cash-secured put route.", "instrument": "IBKR ADV and short-availability feed; exchange short-interest file", "drainable_now": true, "estimate": {"range": "2-4M shares/day (~$25-50M notional)", "basis": "NYSE mid-cap biotech comp with 151.0M shares out and 16.5% short interest", "p": 0.6}}}]}
```

ADJUDICATION — 2026-09-16 15:37Z

Retained Kv7 royalty strip ignored by the brief (NOVEL, fatal to damage-absent); Oberland going-concern tripwire; non-Kv7 SOTP >\$8/sh is the binding question and neither bench priced it. Dev-stage class.

REOPEN GATES: metabolite nonclinical package; 8-K confirming HSR clearance + \$350M received; credible non-Kv7 SOTP >\$8/sh → re-court (paper)

PROCESS: SOTP on the non-Kv7 pipeline is drainable — ticket